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ECO401 QUIZZ MORE

Question # 1 of 15 (Start time: 01:19:25 AM) Total Marks: 1
The law of diminishing marginal utility indicates that the demand curve is:
Select correct option:
Vertical. U
shaped. Upward
sloping.
Downward sloping.
Question # 2 of 15 (Start time: 01:19:43 AM) Total Marks: 1
A firm maximizes profit by operating at the level of output where:
Select correct option:
Average revenue equals average cost.
Average revenue equals average variable cost.
Total costs are minimized.
Marginal revenue equals marginal cost.
Question # 3 of 15 (Start time: 01:20:08 AM) Total Marks: 1
If there is a price ceiling, there will be:
Select correct option:
Shortages.
Surpluses.
Equilibrium.
None of the given options.
Question # 4 of 15 (Start time: 01:20:28 AM) Total Marks: 1
An economist will define the exchange rate between two currencies as the:
Select correct option:
Amount of one currency that must be paid in order to obtain one unit of another

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currency.
Difference between total exports and total imports within a country.
Price at which the sales and purchases of foreign goods takes place.
Ratio of import prices to export prices for a particular country.
Question # 5 of 15 (Start time: 01:20:42 AM) Total Marks: 1

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Each of the following is one of the four sets of factors that determine the level of total spending EXCEPT:
Select correct option:
Consumer's baseline spending, C0.
Foreign real GDP, Yf.
Government purchases, G.
Investor's baseline spending in the stock market.
Question # 6 of 15 (Start time: 01:21:54 AM) Total Marks: 1
A Natural Monopoly is most likely to exist when:
Select correct option:
There are large barriers to entry.
There are long term patents.
There are large economies of scale.
There is government regulation of the industry.
Question # 7 of 15 (Start time: 01:22:08 AM) Total Marks: 1
When the price elasticity of demand for a good is greater than 1, we say that the demand is:
Select correct option:
Increasing.
Decreasing.
Elastic.
Inelastic.
Question # 8 of 15 (Start time: 01:22:23 AM) Total Marks: 1
Which of the following is not an assumption of ordinal utility analysis?
Select correct option:
Consumers are consistent in their preference.
Consumers can measure the total utility received from any given basket of good.
Consumers are non-satiated with respect to the goods they confront.
All are necessary.
Question # 9 of 15 (Start time: 01:22:39 AM) Total Marks: 1
The law of diminishing marginal utility states:
Select correct option:
The supply curve slopes upward.
Your utility grows at a slower and slower rate as you consume more and more units of a good.

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The elasticity of demand is infinite.
None of the given options.

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Question # 10 of 15 (Start time: 01:23:03 AM) Total Marks: 1
If a firm pays cash to buy a building so as to have office space for its workers, the monthly opportunity cost of the building is best measured as:
Select correct option:
The price the firm paid divided by twelve.
Zero.

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The rent the firm could earn if it rented the building to another firm.
The monthly mortgage payment the firm would have had to pay.
Question # 11 of 15 (Start time: 01:23:38 AM) Total Marks: 1
If the income elasticity of demand for boots is 0.2, a 10% increase in consumer income will lead to a:
Select correct option:
20% increase in the quantity of boots demanded.
20% decrease in the quantity of boots demanded.
2% increase in the quantity of boots demanded.
0.2% increase in the quantity of boots demanded.
Question # 12 of 15 (Start time: 01:24:03 AM) Total Marks: 1
According to Keynesian economics, aggregate expenditures are the sum of desired or planned spending undertaken by:
Select correct option:
The household sector after taxes.
The business and government sectors.
All four sectors only when the economy is at full employment.
All four sectors at a specific aggregate production level.
Question # 13 of 15 (Start time: 01:24:24 AM) Total Marks: 1
Which of the following is the Fisher Equation of Exchange?
Select correct option:
MT=PV.
VT=PM.
MV=PQ.
MY=VP.
Question # 14 of 15 (Start time: 01:24:38 AM) Total Marks: 1
The slope of the consumption function (or line) is the:
Select correct option:
Average propensity to save.
Average propensity to consume.
Marginal propensity to save.
Marginal propensity to consume.
Question # 15 of 15 (Start time: 01:24:49 AM) Total Marks: 1
One explanation why the economy does not self correct quickly is
Select correct option:

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With less consumption and more savings the interest rate will drop
In the short run workers are fully employed and cannot produce enough to get to long run equilibrium
Wages and prices are flexible
Wages and prices are sticky

Question # 1 of 15 (Start time: 06:29:43 AM) Total Marks: 1
Many economists and government analysts have investigated the effect of a minimum wage on labour markets. The general conclusion reached by the investigators is that:
Select correct option:
The overall effect of the minimum wage is an increase in the unemployment level.

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Teenagers gain most of the beneficial employment effects of the minimum wage.
All industries are equally affected by the minimum wage laws.
Over a period of time, the minimum wage laws will increase employment in the economy.
Question # 2 of 15 (Start time: 06:30:36 AM) Total Marks: 1
The war in Iraq sent oil prices spiraling upwards, resulting in an increase in the overall price level. This is an example of which type of inflation?
Select correct option:
Cost-pull.
Cost-push.
Demand-pull.
Demand-push.
Question # 3 of 15 (Start time: 06:31:25 AM) Total Marks: 1
Which of the following concepts apply to oligopoly more than to any other market structure?
Select correct option:
Advertising and product differentiation
Easy entry and more than one firm in the market
Homogeneous product and perfect information
Concentration and interdependence
Question # 4 of 15 (Start time: 06:31:33 AM) Total Marks: 1
We know that the demand for a good or service is inelastic if:
Select correct option:
When price rises, quantity demanded rises.
When price rises, quantity demanded falls.
When price rises, total revenue rises.
When price rises, total revenue falls.
Question # 5 of 15 (Start time: 06:31:49 AM) Total Marks: 1
A "Giffen good" is defined as one for which:
Select correct option:
Marginal utility is zero.
The demand curve is perfectly elastic.
The substitution effect is positive.
The demand curve is positively sloped.
Question # 6 of 15 (Start time: 06:33:01 AM) Total Marks: 1

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An economist will define the exchange rate between two currencies as the:
Select correct option:
Amount of one currency that must be paid in order to obtain one unit of another currency.
Difference between total exports and total imports within a country.
Price at which the sales and purchases of foreign goods takes place.
Ratio of import prices to export prices for a particular country.
Question # 7 of 15 (Start time: 06:33:50 AM) Total Marks: 1
In a production process, all inputs are increased by 10%; but output increases more than 10%. This means that the firm experiences:
Select correct option:

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Decreasing returns to scale.
Constant returns to scale.
Increasing returns to scale.
Negative returns to scale.
Question # 8 of 15 (Start time: 06:33:58 AM) Total Marks: 1
The total cost (TC) function is given as: TC = 200 + 5Q. What is the fixed cost?
Select correct option:
200.
5Q.
5.
5 + (200/Q).

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Question # 9 of 15 (Start time: 06:34:05 AM) Total Marks: 1
Personal income:
Select correct option:
Is income received by individuals during a given year.
Is the income individuals have available for spending during a given year.
Equals national income minus indirect taxes.
Is the sum of wages plus interest received by individuals during a given year.
Question # 10 of 15 (Start time: 06:34:29 AM) Total Marks: 1
When the demand curve is downward sloping, marginal revenue is:
Select correct option:
Equal to price.
Equal to average cost.
Less than price.
More than price.
Question # 11 of 15 (Start time: 06:35:57 AM) Total Marks: 1
The demand curve facing a perfectly competitive firm is:
Select correct option:
The same as the market demand curve.
Downward-sloping and less flat than the market demand curve.
Downward-sloping and more flat than the market demand curve.
Perfectly horizontal.

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Question # 12 of 15 (Start time: 06:37:15 AM) Total Marks: 1
Demand is elastic when the elasticity of demand is:
Select correct option:
Greater than 0.
Greater than 1.
Less than 1.
Less than 0.
Question # 13 of 15 (Start time: 06:37:33 AM) Total Marks: 1
A negatively sloped isoquant implies:
Select correct option:
Products with negative marginal utilities.

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Products with positive marginal utilities.
Inputs with negative marginal products.
Inputs with positive marginal products.
Question # 14 of 15 (Start time: 06:38:49 AM) Total Marks: 1
If injections are less than withdrawals at the full-employment level of income then there arises:
Select correct option:
A deflationary gap.
Hysteresis.
Hyperinflation.
An inflationary gap.
Question # 15 of 15 (Start time: 06:38:56 AM) Total Marks: 1
If there is a price ceiling, there will be:
Select correct option:
Shortages.
Surpluses.
Equilibrium.
None of the given options.

Question # 1 of 15 (Start time: 05:41:35 AM) Total Marks: 1
Which of the following will happen if there is an increase in the long term economic growth?
Select correct option:
The production possibilities curve will shift outward.
The production possibilities curve will shift inward.
There will be a movement from inside the production possibilities curve to a point on the production possibilities curve.
There will be a movement from the production possibilities curve to a point inside the production possibilities curve.
Question # 2 of 15 (Start time: 05:42:26 AM) Total Marks: 1
A reason why some economists basically ignore the short run is because they believe that the economy:
Select correct option:
Has self-correcting mechanisms
Can only be graphed with a vertical curve

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Can only be graphed with a horizontal curve
Never needs correction
Question # 3 of 15 (Start time: 05:42:34 AM) Total Marks: 1
In a production process, all inputs are increased by 10%; but output increases more than 10%. This means that the firm experiences:
Select correct option:
Decreasing returns to scale.
Constant returns to scale.
Increasing returns to scale.
Negative returns to scale.

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Question # 4 of 15 (Start time: 05:42:45 AM) Total Marks: 1
Diminishing marginal returns implies:
Select correct option:
Decreasing marginal costs.
Increasing marginal costs.
Decreasing average variable costs.
Decreasing average fixed costs.
Question # 5 of 15 (Start time: 05:43:17 AM) Total Marks: 1
Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:
Select correct option:
The two goods are normal goods.
The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements.
Question # 6 of 15 (Start time: 05:43:32 AM) Total Marks: 1
Price elasticities are measured in percentage terms because:
Select correct option:
It makes students' lives more complicated.
The resulting measure is unit free.
It gives a more accurate answer.
The answer is always negative that way.
Question # 7 of 15 (Start time: 05:43:51 AM) Total Marks: 1
According to the classical economists, those who are not working:
Select correct option:
Are unable to find a job at the current wage rate.
Are too productive to be hired at the current wage.
Have choosen not to work at the market wage.
Have given up looking for a job, but would accept a job at the current wage if one were offered to them.
Question # 8 of 15 (Start time: 05:44:27 AM) Total Marks: 1
The law of diminishing marginal utility indicates that the demand curve is:
Select correct option:

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Vertical. U
shaped. Upward
sloping.
Downward sloping.
Question # 9 of 15 (Start time: 05:44:45 AM) Total Marks: 1
The war in Iraq sent oil prices spiraling upwards, resulting in an increase in the overall price level. This is an example of which type of inflation?
Select correct option:
Cost-pull.
Cost-push.
Demand-pull.

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Demand-push.
Question # 10 of 15 (Start time: 05:45:29 AM) Total Marks: 1
A £1 increase in government spending will have a larger impact upon national income than a £1 tax cut because:
Select correct option:
The government prints the pound it spends.
Not all of a tax cut is spent.
When taxes are cut, so too is government spending.
Taxes are an injection into the system.
Question # 11 of 15 (Start time: 05:45:45 AM) Total Marks: 1
GDP is:
Select correct option:
A stock
A flow.
Both a stock and a flow.
Neither a stock nor a flow.
Question # 12 of 15 (Start time: 05:46:54 AM) Total Marks: 1
If the prices of all goods and services rise during the year:
Select correct option:
Real GDP may fall. Nominal
GDP must fall. **Nominal GDP**
may increase. Real GDP
must rise.
Question # 13 of 15 (Start time: 05:47:33 AM) Total Marks: 1
If the cross price elasticity of demand between two products is +3.5, then:
Select correct option:
One of the products is expensive and one is relatively inexpensive.
One product is a normal good and the other is an inferior good.
The two products are complements.
The two products are substitutes.
Question # 14 of 15 (Start time: 05:47:58 AM) Total Marks: 1
For a monopolist, changes in demand will lead to changes in:
Select correct option:
Price with no change in output.
Output with no change in price.

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Both price and quantity.
Any of the above is possible.
Question # 15 of 15 (Start time: 05:49:07 AM) Total Marks: 1
If the demand curve for a good is downward sloping, then the good:
Select correct option:
Must be normal.
Must be inferior.
Must be Giffen.
Can be normal or inferior.
Question # 1 of 15 (Start time: 05:59:36 AM) Total Marks: 1
A nation's production possibilities curve is "bowed out" from the origin because:

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Select correct option:
Resources are not perfectly shiftable between productions of the two goods.
Capital goods and consumer goods utilize the same production technology.
Resources are scarce relative to human wants.
Opportunity costs are decreasing.
Question # 2 of 15 (Start time: 06:00:17 AM) Total Marks: 1
At any given point on an indifference curve, the the slope is equal to:
Select correct option:
Unity.
The marginal rate of substitution.
The consumer's marginal utility.
None of the given options.
Question # 3 of 15 (Start time: 06:01:33 AM) Total Marks: 1
Which of the following is the Fisher Equation of Exchange?
Select correct option:
MT=PV.
VT=PM.
MV=PQ.
MY=VP.
Question # 4 of 15 (Start time: 06:02:56 AM) Total Marks: 1
The figure that results when goods imports are subtracted from goods exports is:
Select correct option:
The capital account balance.
The balance of trade.
Always greater than zero.
Always less than zero.
Question # 5 of 15 (Start time: 06:03:38 AM) Total Marks: 1
Marginal Cost is defined as:
Select correct option:
The derivative of Variable Cost with respect to quantity produced.
The derivative of Average Cost with respect to quantity produced.
The derivative of Total Cost with respect to quantity produced.
The derivative of Average Variable Cost with respect to quantity produced.
Question # 6 of 15 (Start time: 06:05:05 AM) Total Marks: 1
A monopolistically competitive firm in short run equilibrium:

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Select correct option:
Will make negative profit (lose money).
Will make zero profit (break-even).
Will make positive profit.
Any of the given is possible.
Question # 7 of 15 (Start time: 06:06:31 AM) Total Marks: 1
The extra value that consumers receive above what they pay for that good is called:
Select correct option:
Producer surplus.
Utility.
Marginal utility.

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Consumer surplus.

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Question # 8 of 15 (Start time: 06:06:41 AM) Total Marks: 1
The total cost (TC) function is given as: TC = 200 + 5Q. What is the fixed cost?
Select correct option:
200.
5Q.
5.
5 + (200/Q).
Question # 9 of 15 (Start time: 06:06:48 AM) Total Marks: 1
A firm never operates:
Select correct option:
At the minimum of its average total cost curve.
At the minimum of its average variable cost curve.
On the downward-sloping portion of its average total cost curve.
On the downward-sloping portion of its average variable cost curve.
Question # 10 of 15 (Start time: 06:07:21 AM) Total Marks: 1
A (n) _____may start a price war in order to get a larger share of the market
Select correct option:
Perfect competitor
Oligopolist
Monopolist
Economist
Question # 11 of 15 (Start time: 06:07:28 AM) Total Marks: 1
A demand schedule is best described as:
Select correct option:
A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.
A graphical representation of the law of demand.
A systematic listing of all the variables that might conceivably bring about a change in demand.
A symbolic representation of the law of demand: P, Q and P, Q.
Question # 12 of 15 (Start time: 06:08:35 AM) Total Marks: 1

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The law of diminishing returns assumes:
Select correct option:
There are no fixed factors of production.
There are no variable factors of production.
Utility is maximised when marginal product falls.
Some factors of production are fixed.
Question # 13 of 15 (Start time: 06:09:20 AM) Total Marks: 1
Other things being equal, expected income can be used as a direct measure of well-being:
Select correct option:
No matter what a person's preference to risk.
If and only if individuals are not risk-loving.

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If and only if individuals are risk averse.
If and only if individuals are risk neutral.
Question # 14 of 15 (Start time: 06:10:45 AM) Total Marks: 1
Which of the following can be thought of as a barrier to entry?
Select correct option:
Scale economies.
Patents.
Strategic actions by incumbent firms.
All of the given options are true.
Question # 15 of 15 (Start time: 06:10:54 AM) Total Marks: 1
If the demand curve for a good is downward sloping, then the good:
Select correct option:
Must be normal.
Must be inferior.
Must be Giffen.
Can be normal or inferior.
Question # 1 of 15 (Start time: 08:53:11 PM) Total Marks: 1
Marginal Cost is defined as:
Select correct option:
The derivative of Variable Cost with respect to quantity produced.
The derivative of Average Cost with respect to quantity produced.
The derivative of Total Cost with respect to quantity produced.
The derivative of Average Variable Cost with respect to quantity produced.
Question # 2 of 15 (Start time: 08:53:49 PM) Total Marks: 1
In Keynesian economics, an inflationary gap results if:
Select correct option:
Aggregate expenditures are less than aggregate production.
Aggregate expenditures are greater than aggregate production.
Aggregate expenditures are equal to aggregate production.
There are no changes in inventories.

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Question # 3 of 15 (Start time: 08:55:16 PM) Total Marks: 1
If your demand price for one unit of a good is Rs. 100 and the market price is Rs. 75,

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your consumer's surplus will be:
Select correct option:
Rs.25.
Rs.50.
Rs.75.
Rs.100.
Question # 4 of 15 (Start time: 08:55:34 PM) Total Marks: 1
A normative economic statement:
Select correct option:
Is a statement of fact.
Is a hypothesis used to test economic theory.

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Is a statement of what ought to be, not what is.
Is a statement of what will occur if certain assumptions are true.
Question # 5 of 15 (Start time: 08:56:19 PM) Total Marks: 1
A government wishing to reduce a deficit on the current account of their balance of payments through the use of fiscal policy would be most likely to:
Select correct option:
Raise direct taxation.
Introduce an import quota.
Reduce the rate of value added tax on all goods and services.
Raise interest rates.
Question # 6 of 15 (Start time: 08:57:22 PM) Total Marks: 1
The total utility curve for a risk neutral person will be:
Select correct option:
Straight line.
Convex.
Concave.
None of the given options.
Question # 7 of 15 (Start time: 08:58:34 PM) Total Marks: 1
The good produced by a monopoly:
Select correct option:
Has perfect substitutes
Has no substitutes at all
Has no close substitutes
Can be easily duplicated
Question # 8 of 15 (Start time: 08:58:52 PM) Total Marks: 1
When government sets the price of a good and that price is above the equilibrium price, the result will be:
Select correct option:
A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.
Question # 9 of 15 (Start time: 08:59:34 PM) Total Marks: 1
Which of the following is true about the point on a nation's production-possibilities curve?

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Select correct option:
It shows an undesirable combination of goods and services.
It shows the combinations of production that are unattainable, given current technology and resources.
It shows the level of production that will cause both unemployment and inflation.
It shows that resources are fully employed in producing a particular combination of goods and services.
Question # 10 of 15 (Start time: 09:00:35 PM) Total Marks: 1
The key to keep inflation low is to keep monetary growth aligned with expected real output growth is The Real Business Cycles (RBC) School's thought.
Select correct option:

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True
False
Question # 11 of 15 (Start time: 09:01:50 PM) Total Marks: 1
The burden of a tax is shifted toward buyers if:
Select correct option:
Demand is perfectly elastic.
Demand is relatively more elastic than supply.
Demand is relatively more inelastic than supply.
Demand and supply have equal elasticities.
Question # 12 of 15 (Start time: 09:03:19 PM) Total Marks: 1
Personal income:
Select correct option:
Is income received by individuals during a given year.
Is the income individuals have available for spending during a given year.
Equals national income minus indirect taxes.
Is the sum of wages plus interest received by individuals during a given year.
Question # 13 of 15 (Start time: 09:04:47 PM) Total Marks: 1
The demand curve faced by an individual firm in a competitive market is:
Select correct option:
Upward sloping.
Downward sloping.
Horizontal.
Vertical.
Question # 14 of 15 (Start time: 09:05:29 PM) Total Marks: 1
"Capital widening" means:
Select correct option:
More capital and more labour, but with the same amount of capital per unit of labour.
More capital per unit of labour. Increasing
the usage of existing capital. Importing
capital from the developed world.
Question # 15 of 15 (Start time: 09:06:38 PM) Total Marks: 1
The kinked demand curve model is based on the assumption that each firm:
Select correct option:
Considers its rival's output to be fixed

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Considers its rival's price to be fixed
Believes rivals will match all price changes
None of the given options
Question # 1 of 15 (Start time: 10:51:54 PM) Total Marks: 1
In a free-market economy, the allocation of resources is determined by:
Select correct option:
Votes taken by consumers.
A central planning authority.
Consumer preferences.
The level of profits of firms.
Question # 2 of 15 (Start time: 10:52:20 PM) Total Marks: 1

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In which market structure do firms exist in very large numbers, each firm produces an identical product and there is freedom of entry and exit?
Select correct option:
Monopoly
Oligopoly
Perfect competition
Monopolistic competition
Question # 3 of 15 (Start time: 10:53:13 PM) Total Marks: 1
The classical economists thought that the economy would quickly overcome any short run instability because:
Select correct option:
Price level and quantity were flexible
Prices would get stuck at a low level
The long run aggregate supply would shift to the left
Prices and wages were flexible

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Question # 4 of 15 (Start time: 10:53:47 PM) Total Marks: 1
The concave shape of the production possibilities curve for two goods X and Y illustrates:
Select correct option:
Increasing opportunity costs for both goods.
Increasing opportunity cost for good X but not for good Y.
Increasing opportunity cost for good Y but not for good X.
Constant opportunity costs for both goods.
Question # 5 of 15 (Start time: 10:54:15 PM) Total Marks: 1
Economists who are concerned about the behavior of individual households, firms and industries are studying:
Select correct option:
Microeconomics
Macroeconomics
Positive economics
Normative economics
Question # 6 of 15 (Start time: 10:54:36 PM) Total Marks: 1

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Any shift in AD curve will cause only change in the price level but output will not change.
Select correct option:
True
False
Question # 7 of 15 (Start time: 10:55:07 PM) Total Marks: 1
In a production process, all inputs are increased by 10%; but output increases more than 10%. This means that the firm experiences:
Select correct option:
Decreasing returns to scale.
Constant returns to scale.

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Increasing returns to scale.
Negative returns to scale.
Question # 8 of 15 (Start time: 10:55:58 PM) Total Marks: 1
In the classical model, given an initial aggregate equilibrium at full employment, the long run effect of an increase in government spending is;
Select correct option:
An increase in the price level
An upward shift of the aggregate demand curve
A constant level of output
All of the above
Question # 9 of 15 (Start time: 10:57:05 PM) Total Marks: 1
The trend of unemployment over the last forty years is:
Select correct option:
A decrease in unemployment.
It has remained largely unchanged.
An increase in unemployment.
It is too difficult to tell so don't bother.
Question # 10 of 15 (Start time: 10:57:48 PM) Total Marks: 1
Production possibilities analysis assumes that:
Select correct option:
Resources and technology increase with production.
Resources are used to produce thousands of goods.
Extra resources are saved for emergency use.
Resources are used in a technically efficient way.
Question # 11 of 15 (Start time: 12:53:37 AM) Total Marks: 1
The effect of a change in income on the quantity of the good consumed is called the:
Select correct option:
Income effect.
Budget effect.
Substitution effect.
Real income effect.
Question # 12 of 15 (Start time: 12:54:06 AM) Total Marks: 1
The relationship between consumer spending and income is known as the:
Select correct option:
45-degree line.

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Consumption function.
Investment function.
Consumer price index.

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Question # 13 of 15 (Start time: 12:54:50 AM) Total Marks: 1
Cartels are:
Select correct option:
Organizations of independent firms, producing similar products, that work together to raise prices and restrict output

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Organizations of interdependent firms
Oligopolies
All of the above
Question # 14 of 15 (Start time: 12:56:16 AM) Total Marks: 1
A nation's production possibilities curve is "bowed out" from the origin because:
Select correct option:
Resources are not perfectly shiftable between productions of the two goods.
Capital goods and consumer goods utilize the same production technology.
Resources are scarce relative to human wants.
Opportunity costs are decreasing.
Question # 15 of 15 (Start time: 12:57:15 AM) Total Marks: 1
What does the term "balance of payments deficit" refer to?
Select correct option:
An increase in official international reserves.
A positive statistical discrepancy.
A negative statistical discrepancy.
A decline in official international reserves.
Question # 1 of 15 (Start time: 01:04:20 AM) Total Marks: 1
When oligopolists collude, they are able to:
Select correct option:
Raise price, but not restrict output
Raise price and restrict output, but not attain the monopoly profit
Raise price and restrict output, and therefore attain the monopoly profit
Restrict output, but not raise price
Question # 2 of 15 (Start time: 01:05:21 AM) Total Marks: 1
What is the reason of leftward shift in the demand curve for product A?
Select correct option:
A decrease in income if A is an inferior good.
An increase in income if A is a normal good.
An increase in the price of a product that is a close substitute for A.
An increase in the price of a product that is complementary to A.
Question # 3 of 15 (Start time: 01:06:18 AM) Total Marks: 1
In the classical model, given an initial aggregate equilibrium at full employment, the long run effect of an increase in government spending is;
Select correct option:

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An increase in the price level
An upward shift of the aggregate demand curve
A constant level of output
All of the above

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Question # 4 of 15 (Start time: 01:07:46 AM) Total Marks: 1
What would result from a depreciation of the pound on the foreign exchange market?
Select correct option:
An increase in the price of imported computers.

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A fall in the purchasing power of US tourists in London.
A fall in the price of imported computers.
An increase in the purchasing power of UK tourists overseas.
Question # 5 of 15 (Start time: 01:09:06 AM) Total Marks: 1
The opportunity cost of an action:
Select correct option:
Will be the same for everyone.
Is the value of the next best alternative.
Measures the undesirable aspects of that action.
Is the average amount of unhappiness experienced by everyone involved.
Question # 6 of 15 (Start time: 01:09:28 AM) Total Marks: 1
The concave shape of the production possibilities curve for two goods X and Y illustrates:
Select correct option:
Increasing opportunity costs for both goods.
Increasing opportunity cost for good X but not for good Y.
Increasing opportunity cost for good Y but not for good X.
Constant opportunity costs for both goods.
Question # 7 of 15 (Start time: 01:10:08 AM) Total Marks: 1
If marginal product is above the average product:
Select correct option:
The total product will fall
The average product will rise
Average variable costs will fall
Total revenue will fall
Question # 8 of 15 (Start time: 01:10:40 AM) Total Marks: 1
One explanation why the economy does not self correct quickly is
Select correct option:
With less consumption and more savings the interest rate will drop
In the short run workers are fully employed and cannot produce enough to get to long run equilibrium
Wages and prices are flexible
Wages and prices are sticky
Question # 9 of 15 (Start time: 01:12:08 AM) Total Marks: 1
Consider two commodities X and Y. If the cross-elasticity of demand is positive, it means

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the goods are:
Select correct option:
Independent.
Complements.
Substitutes.
Inferior.
Question # 10 of 15 (Start time: 01:12:39 AM) Total Marks: 1
Which of the following concepts apply to oligopoly more than to any other market structure?
Select correct option:
Advertising and product differentiation

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Easy entry and more than one firm in the market
Homogeneous product and perfect information
Concentration and interdependence
Question # 11 of 15 (Start time: 01:14:07 AM) Total Marks: 1
For a monopolist, changes in demand will lead to changes in:
Select correct option:
Price with no change in output
Output with no change in price
Both price and quantity
Any of the above is possible
Question # 12 of 15 (Start time: 01:14:37 AM) Total Marks: 1
If we observe that the production possibilities curve becomes steeper as we move down along the curve, then:
Select correct option:
Opportunity costs are increasing.
Society's resources are limited.
Society's wants are unlimited.
Society's wants are unlimited.
Question # 13 of 15 (Start time: 01:15:47 AM) Total Marks: 1
Assume Leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:
Select correct option:
Increase hours of work
Decrease hours of work
Not change hours of work
None of the given options
Question # 14 of 15 (Start time: 01:17:07 AM) Total Marks: 1
Endogenous growth theory differs in what essential aspect from the Solow theory of economic growth?
Select correct option:
Endogenous growth theory is a monetary theory whereas the Solow theory is a real theory.
Endogenous growth theory assumes diminishing returns to capital and the Solow theory assumes constant returns.
In endogenous growth theory, economies with the same technology and saving rate

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need not converge to the same steady state as in the Solow model.
All of the given options are correct.
Question # 15 of 15 (Start time: 01:18:32 AM) Total Marks: 1
When an industry's raw material costs decrease, other things remaining the same:
Select correct option:
The supply curve shifts to the right.
The supply curve shifts to the left.
Output increases regardless of the market price and the supply curve shifts upward.
Output decreases and the market price also decrease.

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Question # 1 of 15 (Start time: 04:39:58 AM) Total Marks: 1
In Keynesian economics, if aggregate expenditures are less than aggregate output then:
Select correct option:
The price level rises.
Inventories decrease.
Employment decreases.
Aggregate output increases.
Question # 2 of 15 (Start time: 04:41:08 AM) Total Marks: 1
Average physical product is equal to:
Select correct option:
TPPF
TPPF/QF
QF / TPPF
TPPF * QF
Question # 3 of 15 (Start time: 04:41:15 AM) Total Marks: 1
A person with a diminishing marginal utility of income:
Select correct option:
Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information.
Question # 4 of 15 (Start time: 04:41:34 AM) Total Marks: 1
Which of the following concepts apply to oligopoly more than to any other market structure?
Select correct option:
Advertising and product differentiation
Easy entry and more than one firm in the market
Homogeneous product and perfect information
Concentration and interdependence
Question # 5 of 15 (Start time: 04:41:41 AM) Total Marks: 1
If injections are less than withdrawals at the full-employment level of income then there arises:
Select correct option:
A deflationary gap.

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Hysteresis.
Hyperinflation.
An inflationary gap.
Question # 6 of 15 (Start time: 04:41:58 AM) Total Marks: 1
The substitution effect of a price decrease for a good with a normal indifference curve pattern:
Select correct option:
Is always inversely related to the price change.
Measures the change in consumption of the good that is due to the consumer's feeling of being richer.
Is measured by the horizontal distance between the original and the new indifference

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curves.
Is sufficient information to plot an ordinary demand curve for the commodity being considered.
Question # 7 of 15 (Start time: 04:42:45 AM) Total Marks: 1
Our economy is characterized by:
Select correct option:
Unlimited wants and needs.
Unlimited material resources.
No energy resources.
Abundant productive labor.
Question # 8 of 15 (Start time: 04:42:53 AM) Total Marks: 1
If a firm pays cash to buy a building so as to have office space for its workers, the monthly opportunity cost of the building is best measured as:
Select correct option:
The price the firm paid divided by twelve.
Zero.
The rent the firm could earn if it rented the building to another firm.
The monthly mortgage payment the firm would have had to pay.
Question # 9 of 15 (Start time: 04:43:51 AM) Total Marks: 1
A monopolistically competitive firm in short run equilibrium:
Select correct option:
Will make negative profit (lose money).
Will make zero profit (break-even).
Will make positive profit.
Any of the given is possible.
Question # 10 of 15 (Start time: 04:44:08 AM) Total Marks: 1
A reason why some economists basically ignore the short run is because they believe that the economy:
Select correct option:
Has self-correcting mechanisms
Can only be graphed with a vertical curve
Can only be graphed with a horizontal curve
Never needs correction
Question # 11 of 15 (Start time: 04:44:15 AM) Total Marks: 1
Which of the following is not a reason why the aggregate demand curve slopes

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downward?
Select correct option:
The exchange-rate effect
The wealth effect.
The classical dichotomy/monetary neutrality effects.
The interest-rate effect
Question # 12 of 15 (Start time: 04:44:44 AM) Total Marks: 1
Microeconomics is the branch of economics that deals with which of the following topics?
Select correct option:
The behavior of individual consumers

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Unemployment and interest rates
The behavior of individual firms and investors
The behavior of individual consumers and behavior of individual firms and investors.
Question # 13 of 15 (Start time: 04:45:09 AM) Total Marks: 1
When the price elasticity of demand for a good is greater than 1, we say that the demand is:
Select correct option:
Increasing.
Decreasing.
Elastic.
Inelastic.
Question # 14 of 15 (Start time: 04:45:25 AM) Total Marks: 1
Goods X and Y are complements while goods X and Z are substitutes. If the supply of good X increases:
Select correct option:
The demand for both Y and Z will increase
The demand for Y will increase while the demand for Z will decrease
The demand for Y will decrease while the demand for Z will increase
The demand for both Y and Z will decrease
Question # 15 of 15 (Start time: 04:45:32 AM) Total Marks: 1
The point at which AC intersects MC is where:
Select correct option:
AC is decreasing.
MC is at its minimum.
AC is at its minimum.
AC is at its maximum.

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Question # 1 of 15 (Start time: 05:01:22 AM) Total Marks: 1
International data suggest that economies of countries with different steady states will converge to:
Select correct option:
The same steady state.

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Their own steady state.
The Golden Rule steady state.
Steady states below the Golden Rule level.
Question # 2 of 15 (Start time: 05:02:37 AM) Total Marks: 1
GDP is:
Select correct option:
A stock
A flow.
Both a stock and a flow.
Neither a stock nor a flow.
Question # 3 of 15 (Start time: 05:03:24 AM) Total Marks: 1

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In a production process, all inputs are increased by 10%; but output increases more than 10%. This means that the firm experiences:
Select correct option:
Decreasing returns to scale.
Constant returns to scale.
Increasing returns to scale.
Negative returns to scale.
Question # 4 of 15 (Start time: 05:03:33 AM) Total Marks: 1
Which of the following does NOT refer to macroeconomics?
Select correct option:
The study of the aggregate level of economic activity.
The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms.
The study of the cause of unemployment.
The study of the cause of inflation.
Question # 5 of 15 (Start time: 05:04:49 AM) Total Marks: 1
Which one of the following is true with a pure monopoly?
Select correct option:
The monopoly's demand curve and the market demand curve are one and the same.
The market is dominated by just two firms.
The monopolist will always charge the highest possible price.
The monopolist will always charge a high price because it wants to maximize profits.
Question # 6 of 15 (Start time: 05:06:15 AM) Total Marks: 1
An economist will define the exchange rate between two currencies as the:
Select correct option:
Amount of one currency that must be paid in order to obtain one unit of another currency.
Difference between total exports and total imports within a country.
Price at which the sales and purchases of foreign goods takes place.
Ratio of import prices to export prices for a particular country.
Question # 7 of 15 (Start time: 05:07:25 AM) Total Marks: 1
When the price elasticity of demand for a good is greater than 1, we say that the demand is:
Select correct option:
Increasing.

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Decreasing.
Elastic.
Inelastic.
Question # 8 of 15 (Start time: 05:07:33 AM) Total Marks: 1
Which one of the following is most likely to lead to an increase in aggregate demand? An increase in:
Select correct option:
Government tax revenues
Household savings
Business capital investment
Demand for imports

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Question # 9 of 15 (Start time: 05:08:53 AM) Total Marks: 1
If the quantity supplied of mangoes exceeds the quantity demanded of mangoes:
Select correct option:
There is a shortage of mangoes.
Market forces will cause the price to fall.
Market forces will cause the price to rise.
The market is in equilibrium.
Question # 10 of 15 (Start time: 05:09:13 AM) Total Marks: 1
The slope of the saving function (or line) is the:
Select correct option:
Average propensity to save.
Average propensity to consume.
Marginal propensity to save.
Marginal propensity to consume.
Question # 11 of 15 (Start time: 05:09:51 AM) Total Marks: 1
Which of the following would cause the short run aggregate supply curve to shift to the left, but have no effect over the long run aggregate supply?
Select correct option:
The amount of factors of production (such as labor and capital) increase
The amount of factors of production (such as labor and capital) decrease
Prices of inputs (such as wages or oil prices) increase
Prices of inputs (such as wages or oil prices) decrease
Question # 12 of 15 (Start time: 05:11:14 AM) Total Marks: 1
The demand for chicken is downward-sloping. Suddenly the price of chicken rises from Rs. 130 per kg to Rs. 140 per kg. This will cause:
Select correct option:
The demand curve of chicken to shift to the right.
The demand curve of chicken to shift to the left.
Quantity demanded of chicken to increase.
Quantity demanded of chicken to decrease.
Question # 13 of 15 (Start time: 05:11:23 AM) Total Marks: 1
Endogenous growth theory differs in what essential aspect from the Solow theory of

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economic growth?
Select correct option:
Endogenous growth theory is a monetary theory whereas the Solow theory is a real theory.
Endogenous growth theory assumes diminishing returns to capital and the Solow theory assumes constant returns.
In endogenous growth theory, economies with the same technology and saving rate need not converge to the same steady state as in the Solow model.
All of the given options are correct.
Question # 14 of 15 (Start time: 05:11:30 AM) Total Marks: 1
A tax on the accounting profits of corporations is known as:

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Select correct option:
Sales tax.
Excise tax.
Corporate income tax.
Personal income tax.
Question # 15 of 15 (Start time: 05:12:43 AM) Total Marks: 1
Consumption spending, investment expenditures, government expenditures, and net exports are:
Select correct option:
The components of aggregate supply
The components of government revenue
The components of aggregate demand
The components of household income
The money supply is less than total expenditures.
Question # 1 of 15 (Start time: 10:02:42 PM) Total Marks: 1
If a profit-maximizing firm finds that, at its current level of production, MR < MC, it will:
Select correct option:
Increase output.
Operate at a loss.
Shut down.
Decrease output.
Question # 2 of 15 (Start time: 08:15:19 PM) Total Marks: 1
The government has a budget surplus if:
Select correct option:
Its total revenues are equal to its total expenditures.
Its total revenues are less than its total expenditures.
Its total revenues are greater than its total expenditures.

Question # 3 of 15 (Start time: 10:04:01 PM) Total Marks: 1
AD curve slopes downward for both Keynes and classicals.
Select correct option:
True
False

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Question # 4 of 15 (Start time: 10:04:25 PM) Total Marks: 1
A (n) _____may start a price war in order to get a larger share of the market
Select correct option:
Perfect competitor
Oligopolist
Monopolist
Economist
Question # 5 of 15 (Start time: 10:04:50 PM) Total Marks: 1
If diminishing marginal utility holds and a person consumes less of a good, then all else

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being equal:
Select correct option:
The price of the good will rise.
Marginal utility will rise.
Expenditure on the good will increase.
Marginal utility will decline.
Question # 6 of 15 (Start time: 10:05:15 PM) Total Marks: 1
The burden of a tax is shifted toward buyers if:
Select correct option:
Demand is perfectly elastic.
Demand is relatively more elastic than supply.
Demand is relatively more inelastic than supply.
Demand and supply have equal elasticities.
Question # 7 of 15 (Start time: 10:05:39 PM) Total Marks: 1
What would result from a depreciation of the pound on the foreign exchange market?
Select correct option:
An increase in the price of imported computers.
A fall in the purchasing power of US tourists in London.
A fall in the price of imported computers.
An increase in the purchasing power of UK tourists overseas.
Question # 8 of 15 (Start time: 10:06:04 PM) Total Marks: 1
The marginal rate of substitution is equal to the:
Select correct option:
Magnitude of the slope of the indifference curve
Relative price
Marginal cost of each good
Slope of the budget line
Question # 9 of 15 (Start time: 10:06:41 PM) Total Marks: 1
Fiscal policy is the government program with respect to its:
Select correct option:
Steel Mill Privatization.
Unemployment reduction.
Expenditure and tax revenue.
Increase in unemployment.
Question # 10 of 15 (Start time: 10:07:16 PM) Total Marks: 1

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Real GDP is equal to:
Select correct option:
Nominal GDP – Inflation.
Nominal GDP + Inflation.
Nominal GDP / Inflation.
Inflation / Nominal GDP.
Question # 11 of 15 (Start time: 10:08:03 PM) Total Marks: 1
For a monopolist, changes in demand will lead to changes in:
Select correct option:
Price with no change in output
Output with no change in price

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Both price and quantity
Any of the above is possible

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Question # 12 of 15 (Start time: 10:08:39 PM) Total Marks: 1
Monopolistic competition and oligopoly share which characteristic?
Select correct option:
Free entry and exit from the industry
Strategic behavior
Standardized products
Advertising
Question # 13 of 15 (Start time: 10:09:12 PM) Total Marks: 1
If marginal product is equal to average product:
Select correct option:
The total product will fall
The average product will not change
Average variable costs will fall
Total revenue will fall
Question # 14 of 15 (Start time: 10:09:59 PM) Total Marks: 1
Which of the following is true about the point on a nation's production-possibilities curve?
Select correct option:
It shows an undesirable combination of goods and services.
It shows the combinations of production that are unattainable, given current technology and resources.
It shows the level of production that will cause both unemployment and inflation.
It shows that resources are fully employed in producing a particular combination of goods and services.
Question # 15 of 15 (Start time: 10:10:34 PM) Total Marks: 1
The demand curve facing a perfectly competitive firm is:
Select correct option:
The same as the market demand curve.
Downward-sloping and less flat than the market demand curve.
Downward-sloping and more flat than the market demand curve.

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Perfectly horizontal.
Question # 1 of 15 (Start time: 12:36:29 AM) Total Marks: 1
A (n) _____may start a price war in order to get a larger share of the market
Select correct option:
Perfect competitor
Oligopolist
Monopolist
Economist
Question # 2 of 15 (Start time: 12:36:49 AM) Total Marks: 1
For a firm buying labor competitively, the marginal input cost is equal to the:
Select correct option:

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Wage Interest
rate Price of
output
cost of raw materials
Question # 3 of 15 (Start time: 12:37:20 AM) Total Marks: 1
In the kinked demand curve model, if one firm reduces its price:
Select correct option:
Other firms will also reduce their price
Other firms will compete on a non-price basis
Other firms will raise their price
Both (a) and (b) are correct
Question # 4 of 15 (Start time: 12:38:02 AM) Total Marks: 1
What does the term "balance of payments deficit" refer to?
Select correct option:
An increase in official international reserves.
A positive statistical discrepancy.
A negative statistical discrepancy.
A decline in official international reserves.
Question # 5 of 15 (Start time: 12:38:21 AM) Total Marks: 1
The trend of unemployment over the last forty years is:
Select correct option:
A decrease in unemployment.
It has remained largely unchanged.
An increase in unemployment.
It is too difficult to tell so don't bother.
Question # 6 of 15 (Start time: 12:38:44 AM) Total Marks: 1
An exchange rate that varies according to the supply and demand for the currency in the foreign exchange market is called a(n) _____exchange rate.
Select correct option:
Overvalued.
Undervalued.
Fixed.
Flexible.

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Question # 7 of 15 (Start time: 12:39:04 AM) Total Marks: 1
Which of the following is not an assumption of ordinal utility analysis?
Select correct option:
Consumers are consistent in their preference.
Consumers can measure the total utility received from any given basket of good.
Consumers are non-satiated with respect to the goods they confront.
All are necessary.
Question # 8 of 15 (Start time: 12:39:23 AM) Total Marks: 1
A price taker is:
Select correct option:

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A firm that accepts different prices from different customers.
A monopolistically competitive firm.
A firm that cannot influence the market price.
An oligopolistic firm.
Question # 9 of 15 (Start time: 12:39:42 AM) Total Marks: 1
GDP is:
Select correct option:
A stock
A flow.
Both a stock and a flow
Neither a stock nor a flow.
Question # 10 of 15 (Start time: 12:39:56 AM) Total Marks: 1
The relationship between consumer spending and income is known as the:
Select correct option:
45-degree line.
Consumption function.
Investment function.
Consumer price index.
Question # 11 of 15 (Start time: 12:40:23 AM) Total Marks: 1
According to classical economists, the:
Select correct option:
Aggregate demand curve is downward sloping and the aggregate supply curve is vertical
Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping
Aggregate demand curve is vertical and the aggregate supply curve is upward sloping
Aggregate demand curve is vertical and the aggregate supply curve is horizontal
Question # 12 of 15 (Start time: 12:40:49 AM) Total Marks: 1
If the investment demand curve is vertical then:
Select correct option:
Both monetary and fiscal policy are ineffective.
Both monetary and fiscal policy are effective.
Monetary policy is effective but fiscal policy is ineffective.
Monetary policy is ineffective but fiscal policy is effective.
Question # 13 of 15 (Start time: 12:41:19 AM) Total Marks: 1

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Which of the following shows the condition for consumer's equilibrium?
Select correct option:
It can be expressed as marginal utility per dollar spent on each good being equalized across all goods.
It can be expressed as the ratio of (marginal utility per unit of the good)/(price per unit of the good) being equalized across all goods.
It can be expressed as the ratio of marginal utilities being equated to the ratio of prices for all possible pairs of goods.
All of the given options.

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Question # 14 of 15 (Start time: 12:41:38 AM) Total Marks: 1
Assume Leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:
Select correct option:
Increase hours of work
Decrease hours of work
Not change hours of work
None of the given options
Question # 15 of 15 (Start time: 12:41:49 AM) Total Marks: 1
According to Classical models, the level of employment is determined primarily by:
Select correct option:
The level of aggregate demand for goods and services.
Prices and wages.
Government taxation.
Government spending.
Question # 1 of 15 (Start time: 01:45:21 AM) Total Marks: 1
The unemployment rate is equal to :
Select correct option:
Number of employed persons / labour force x 100.
Number of unemployed persons + labour force.
(Number of unemployed persons / labour force) x 100.
None of the given options.
Question # 2 of 15 (Start time: 01:45:27 AM) Total Marks: 1
Which of the following is not an assumption of ordinal utility analysis?
Select correct option:
Consumers are consistent in their preference.
Consumers can measure the total utility received from any given basket of good.
Consumers are non-satiated with respect to the goods they confront.
All are necessary.
Question # 3 of 15 (Start time: 01:45:33 AM) Total Marks: 1
In the complete classical model, a rightward shift of the labor supply curve will:
Select correct option:
Decrease the price level and increase the nominal wage
Decrease the nominal wage and increase the price leve

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Decrease both the price level and the nominal wage
Increase both the price level and the nominal wage
Question # 4 of 15 (Start time: 01:45:42 AM) Total Marks: 1
Following are the disadvantages of monopoly EXCEPT:
Select correct option:
Monopolists earn higher profits.
Monopolists produce high quality goods at higher prices.
Most of the "surplus" (producer + consumer surplus) accrues to monopolists.
Monopolists do not pay sufficient attention to increasing efficiency.
Question # 5 of 15 (Start time: 01:45:51 AM) Total Marks: 1
In which case, total expenditure in an economy is not equal to total income?

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Select correct option:
If total saving is larger than total investment.
If net exports are not zero.
If inventory investment is negative.
None of the given options--they are always equal.
Question # 6 of 15 (Start time: 01:45:57 AM) Total Marks: 1
Profit is maximized when:
Select correct option:
Marginal revenue product is greater than marginal input cost
Marginal revenue product equals marginal input cost
Marginal revenue product is less than marginal input cost
Output is maximized
Question # 7 of 15 (Start time: 01:46:05 AM) Total Marks: 1
Moving from left to right, the typical production possibilities curve:
Select correct option:
Is horizontal.
Has a constant positive slope.
Illustrates increasing opportunity costs.

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Illustrates decreasing opportunity costs.
Question # 8 of 15 (Start time: 01:46:55 AM) Total Marks: 1
If the prices of all goods and services rise during the year:
Select correct option:
Real GDP may fall. Nominal
GDP must fall. **Nominal GDP**
may increase. Real GDP
must rise.
Question # 9 of 15 (Start time: 01:47:01 AM) Total Marks: 1
Which one of the following is true with a pure monopoly?
Select correct option:
The monopoly's demand curve and the market demand curve are one and the same.
The market is dominated by just two firms.
The monopolist will always charge the highest possible price.

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The monopolist will always charge a high price because it wants to maximize profits.
Question # 10 of 15 (Start time: 01:47:11 AM) Total Marks: 1
Naima has just finished school and is waiting to report to his new job at the beginning of the month. Naima is considered to be:
Select correct option:
Structurally unemployed.
Frictionally unemployed.
Cyclically unemployed.
Employed.
Question # 11 of 15 (Start time: 01:47:18 AM) Total Marks: 1
If two goods were perfect complements, their indifference curves would be:

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Select correct option:
Straight lines
L-shaped
Rectangular hyperbolas
Parabolic
Question # 12 of 15 (Start time: 01:47:25 AM) Total Marks: 1
The demand curve facing a perfectly competitive firm is:
Select correct option:
The same as its average revenue curve but not the same as its marginal revenue curve.
The same as its average revenue curve and its marginal revenue curve.
The same as its marginal revenue curve but not its average revenue curve.
Not the same as either its marginal revenue curve or its average revenue curve.
Question # 13 of 15 (Start time: 01:47:44 AM) Total Marks: 1
The demand curve faced by an individual firm in a competitive market is:
Select correct option:
Upward sloping.
Downward sloping.
Horizontal.
Vertical.
Question # 14 of 15 (Start time: 01:47:53 AM) Total Marks: 1
Monopolistically competitive firms have monopoly power because they:
Select correct option:
Face downward sloping demand curves.
Are great in number.
Have freedom of entry.
Are free to advertise.
Question # 15 of 15 (Start time: 01:47:59 AM) Total Marks: 1
In the Keynesian cross model, the 45-degree line has a slope of:
Select correct option:
1.
0.
45.
Infinity.

Question # 1 of 15 (Start time: 06:02:35 AM) Total Marks: 1

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According to Classical models, the level of employment is determined primarily by:
Select correct option:
The level of aggregate demand for goods and services.
Prices and wages.
Government taxation.
Government spending.

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Question # 2 of 15 (Start time: 06:03:30 AM) Total Marks: 1
Moving from left to right, the typical production possibilities curve:

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Select correct option:
Is horizontal.
Has a constant positive slope.
Illustrates increasing opportunity costs.
Illustrates decreasing opportunity costs.
Question # 3 of 15 (Start time: 06:04:59 AM) Total Marks: 1
Keynes advocated demand-side policies to lift the economy out of that equilibrium towards full employment.
Select correct option:
True
False
Question # 4 of 15 (Start time: 06:06:20 AM) Total Marks: 1
More output could be produced with available resources if:
Select correct option:
Resources are allocated efficiently.
Resources are imperfectly shiftable among alternative uses.
Prices are reduced.
The economy is operating at a point inside the production possibilities curve.
Question # 5 of 15 (Start time: 06:07:34 AM) Total Marks: 1
To hire the next worker the firm pays $50. Fifty dollars is the:
Select correct option:
Marginal input cost
Marginal cost
Marginal revenue product
Marginal revenue
Question # 6 of 15 (Start time: 06:09:01 AM) Total Marks: 1
The concept of a risk premium applies to a person that is:
Select correct option:
Risk averse
Risk neutral
Risk loving
All of the given options
Question # 7 of 15 (Start time: 06:09:59 AM) Total Marks: 1
Cartels are:
Select correct option:

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Organizations of independent firms, producing similar products, that work together to raise prices and restrict output
Organizations of interdependent firms
Oligopolies
All of the above
Question # 8 of 15 (Start time: 06:10:52 AM) Total Marks: 1
The demand curve facing a perfectly competitive firm is:
Select correct option:
The same as its average revenue curve but not the same as its marginal revenue curve.
The same as its average revenue curve and its marginal revenue curve.
The same as its marginal revenue curve but not its average revenue curve.

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Not the same as either its marginal revenue curve or its average revenue curve.

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Question # 9 of 15 (Start time: 06:12:12 AM) Total Marks: 1
An important difference between the approaches of the classical and Keynesian economists use to achieve a macroeconomic equilibrium is that:
Select correct option:
Keynesian economists actively promote the use of fiscal policy; the classical economists do not
Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance; classical economists do not
classical economists believe that monetary policy will certainly affect the level of output; Keynesians believe that money growth affects only prices
classical economists believe that fiscal policy is an effective tool for achieving economic stability; Keynesians do not
Question # 10 of 15 (Start time: 06:13:06 AM) Total Marks: 1
The level of aggregate demand will decrease if the level of:
Select correct option:
Consumption spending increases
Imports decreases
Investment spending decreases
Government spending increases
Question # 11 of 15 (Start time: 06:14:34 AM) Total Marks: 1
Goods X and Y are complements while goods X and Z are substitutes. If the supply of good X increases:
Select correct option:
The demand for both Y and Z will increase
The demand for Y will increase while the demand for Z will decrease
The demand for Y will decrease while the demand for Z will increase
The demand for both Y and Z will decrease
Question # 12 of 15 (Start time: 06:14:45 AM) Total Marks: 1
The burden of a tax is shifted toward buyers if:
Select correct option:
Demand is perfectly elastic.

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Demand is relatively more elastic than supply.
Demand is relatively more inelastic than supply.
Demand and supply have equal elasticities.
Question # 13 of 15 (Start time: 06:15:28 AM) Total Marks: 1
"Capital widening" means:
Select correct option:
More capital and more labour, but with the same amount of capital per unit of labour.
More capital per unit of labour. Increasing
the usage of existing capital. Importing
capital from the developed world.

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Question # 14 of 15 (Start time: 06:15:36 AM) Total Marks: 1
The law of diminishing marginal utility indicates that the demand curve is:
Select correct option:
Vertical. U
shaped. Upward
sloping.
Downward sloping.
Question # 15 of 15 (Start time: 06:15:44 AM) Total Marks: 1
Which of the following events shifts the short-run aggregate supply curve to the right?
Select correct option:
A decrease in the money supply
A drop in oil prices
An increase in government spending on military equipment
An increase in price expectations

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Question # 1 of 15 (Start time: 01:24:42 PM) Total Marks: 1
A person with a diminishing marginal utility of income:
Select correct option:
Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information.
We know that the demand for a product is elastic if:
Select correct option:
When price rises, revenue rises.
When price rises, revenue falls.
When price rises, quantity demanded rises.
When price falls, quantity demanded rises
The demand for chicken is downward-sloping. Suddenly the price of chicken rises from Rs. 130 per kg to Rs. 140 per kg. This will cause:
Select correct option:
The demand curve of chicken to shift to the right.

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The demand curve of chicken to shift to the left.
Quantity demanded of chicken to increase.
Quantity demanded of chicken to decrease
A Demand Curve is price inelastic when:
Select correct option:
Changes in demand are proportionately smaller than those in price.
Changes in demand are proportionately greater than those in price.
Changes in demand are equal than those in price.
None of the given options
the income elasticity of demand is 1/2, the good is:
Select correct option:

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A luxury.
A normal good (but not a luxury).
An inferior good.
A Giffen good.
It is expected that the sign of cross price elasticity of demand between two complementary goods would be:
Select correct option:
Positive.
Negative.
Zero.
Ambiguous.
A nation's production possibilities curve is "bowed out" from the origin because:
Select correct option:
Resources are not perfectly shiftable between productions of the two goods.
Capital goods and consumer goods utilize the same production technology.
Resources are scarce relative to human wants.
Opportunity costs are decreasing.

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we observe that the production possibilities curve becomes steeper as we move down along the curve, then:
Select correct option:
Opportunity costs are increasing.
Society's resources are limited.
Society's wants are unlimited.
Society's wants are unlimited.
The burden of a tax is shifted toward buyers if:
Select correct option:
Demand is perfectly elastic.
Demand is relatively more elastic than supply.
Demand is relatively more inelastic than supply.
Demand and supply have equal elasticities
When government sets the price of a good and that price is above the equilibrium price, the result will be:

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Select correct option:
A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.
Our economy is characterized by:
Select correct option:
Unlimited wants and needs.
Unlimited material resources.
No energy resources.
Abundant productive labor.

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Moving from left to right, the typical production possibilities curve:
Select correct option:
Is horizontal.
Has a constant positive slope.
Illustrates increasing opportunity costs.
Illustrates decreasing opportunity costs
When the price elasticity of demand for a good is greater than 1, we say that the demand is:
Select correct option:
Increasing.
Decreasing.
Elastic.
Inelastic.
Microeconomics is the branch of economics that deals with which of the following topics?
Select correct option:
The behavior of individual consumers
Unemployment and interest rates
The behavior of individual firms and investors
The behavior of individual consumers and behavior of individual firms and investors
law of diminishing marginal utility states:
Select correct option:
The supply curve slopes upward.
Your utility grows at a slower and slower rate as you consume more and more units of a good.
The elasticity of demand is infinite.

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None of the given options.
Question # 1 of 15 (Start time: 09:41:00 PM) Total Marks: 1
Which of the following is true about the market mechanism?
Select correct option:
It is not a very efficient means of communicating consumer demand to the producers of

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goods and services.
It works through central planning by government.
It eliminates market failures created by government.
It works because prices serve as a means of communication between consumers and producers.
Question # 2 of 15 (Start time: 09:42:19 PM) Total Marks: 1
Goods X and Y are complements while goods X and Z are substitutes. If the supply of good X increases:
Select correct option:
The demand for both Y and Z will increase
The demand for Y will increase while the demand for Z will decrease

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The demand for Y will decrease while the demand for Z will increase
The demand for both Y and Z will decrease
Question # 3 of 15 (Start time: 09:43:27 PM) Total Marks: 1
The percentage change in quantity demanded of a given good, with respect to the percentage change in the price of "another" good is called:
Select correct option:
Price elasticity of demand.
Income elasticity of demand.
Cross price elasticity of demand.
Supply price elasticity.
Question # 5 of 15 (Start time: 09:45:17 PM) Total Marks: 1
Marginal utility is best described as:
Select correct option:
The additional satisfaction gained by consumption of the last good.
The per unit satisfaction of the good consumed.
The total satisfaction gained from the total consumption of the good.
The change in satisfaction from consuming one additional unit of the good.
Question # 6 of 15 (Start time: 09:46:17 PM) Total Marks: 1
The principle economic difference between a competitive and a non-competitive market is:
Select correct option:
The number of firms in the market.
The extent to which any firm can influence the price of the product.
The size of the firms in the market.
The annual sales made by the largest firms in the market
Question # 7 of 15 (Start time: 09:47:45 PM) Total Marks: 1
Which of the following does NOT refer to macroeconomics?
Select correct option:
The study of the aggregate level of economic activity.
The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms.
The study of the cause of unemployment.
The study of the cause of inflation.

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Question # 8 of 15 (Start time: 09:48:27 PM) Total Marks: 1
The concave shape of the production possibilities curve for two goods X and Y illustrates:
Select correct option:
Increasing opportunity costs for both goods.
Increasing opportunity cost for good X but not for good Y.
Increasing opportunity cost for good Y but not for good X.
Constant opportunity costs for both goods.
Question # 9 of 15 (Start time: 09:49:03 PM) Total Marks: 1
While drawing a given market demand curve,---------- is not considered constant.

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Select correct option:
Income.
The price of the good in question.
The prices of related goods.
Preferences.
Question # 10 of 15 (Start time: 09:50:32 PM) Total Marks: 1
A Demand Curve is price inelastic when:
Select correct option:
Changes in demand are proportionately smaller than those in price.
Changes in demand are proportionately greater than those in price.
Changes in demand are equal than those in price.
None of the given options
Question # 11 of 15 (Start time: 09:50:58 PM) Total Marks: 1
A new technology which reduces costs for firms:
Select correct option:
Shifts the supply curve to the right.
Shifts the supply curve to the left.
Reduces the equilibrium quantity.
Raises the equilibrium price.
Question # 12 of 15 (Start time: 09:52:11 PM) Total Marks: 1
The law of increasing opportunity costs states that:
Select correct option:
The more one is willing to pay for resources, the larger will be the possible level of production.
Increasing the production of a particular good will cause the price of the good to rise.
In order to produce additional units of a particular good, it is necessary for society to sacrifice increasingly larger amounts of alternative goods.
Only by keeping production constant can rising prices be avoided.
Question # 13 of 15 (Start time: 09:53:32 PM) Total Marks: 1
A rational person does not act unless:
Select correct option:
The action is ethical.
The action produces marginal costs that exceeds marginal benefits.
The action produces marginal benefits that exceeds marginal costs.
The action makes money for the person.

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Question # 14 of 15 (Start time: 09:54:58 PM) Total Marks: 1
The effect of a change in income on the quantity of the good consumed is called the:
Select correct option:
Income effect.
Budget effect.
Substitution effect.
Real income effect
Question # 15 of 15 (Start time: 09:55:32 PM) Total Marks: 1
The opportunity cost of an action:
Select correct option:
Will be the same for everyone.

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Is the value of the next best alternative.
Measures the undesirable aspects of that action.
Is the average amount of unhappiness experienced by everyone involved.
Question # 1 of 15 (Start time: 09:56:31 PM) Total Marks: 1
Price elasticities are measured in percentage terms because:
Select correct option:
It makes students' lives more complicated.
The resulting measure is unit free.
It gives a more accurate answer.
The answer is always negative that way
Question # 2 of 15 (Start time: 09:57:54 PM) Total Marks: 1
Other things being equal, expected income can be used as a direct measure of well-being:
Select correct option:
No matter what a person's preference to risk.
If and only if individuals are not risk-loving.
If and only if individuals are risk averse.
If and only if individuals are risk neutral.
Question # 3 of 15 (Start time: 09:59:18 PM) Total Marks: 1
Demand is said to be ---------- when the elasticity of demand is less than 1.
Select correct option:
Increasing
Decreasing
Elastic
Inelastic

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Question # 4 of 15 (Start time: 10:00:07 PM) Total Marks: 1
A nation's production possibilities curve is "bowed out" from the origin because:
Select correct option:
Resources are not perfectly shiftable between productions of the two goods.
Capital goods and consumer goods utilize the same production technology.
Resources are scarce relative to human wants.
Opportunity costs are decreasing.
Question # 6 of 15 (Start time: 10:01:37 PM) Total Marks: 1

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If the quantity supplied of mangoes exceeds the quantity demanded of mangoes:
Select correct option:
There is a shortage of mangoes.
Market forces will cause the price to fall.
Market forces will cause the price to rise.
The market is in equilibrium.
Question # 7 of 15 (Start time: 10:02:27 PM) Total Marks: 1
Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:
Select correct option:
The two goods are normal goods.

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The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements
Question # 8 of 15 (Start time: 10:03:33 PM) Total Marks: 1
An individual with a constant marginal utility of income will be:
Select correct option:
Risk averse.
Risk neutral.
Risk loving.
Insufficient information for a decision
Question # 10 of 15 (Start time: 10:04:59 PM) Total Marks: 1
The numerical measurement of a consumer's preference is called:
Select correct option:
Satisfaction.
Use.
Pleasure.
Utility.
Question # 11 of 15 (Start time: 10:05:40 PM) Total Marks: 1
Which of the following might be considered to be a characteristic of a planned economy?
Select correct option:
All income is completely evenly distributed.
Price is relatively unimportant as a means of allocating resources.
Goods and services produced reflect consumer sovereignty.
There is no incentive for people to work hard.
Question # 12 of 15 (Start time: 10:06:31 PM) Total Marks: 1
The concept of a risk premium applies to a person that is:
Select correct option:
Risk averse
Risk neutral
Risk loving
All of the given options
Question # 13 of 15 (Start time: 10:07:37 PM) Total Marks: 1
According to the law of diminishing marginal utility, as the consumption of particular good increases:
Select correct option: Total

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utility increases. Marginal
utility increases. Total
utility decreases. **Marginal utility decreases**

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Question # 14 of 15 (Start time: 10:08:23 PM) Total Marks: 1
The extra value that consumers receive above what they pay for that good is called:
Select correct option:
Producer surplus.

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Utility.
Marginal utility.
Consumer surplus.
Question # 15 of 15 (Start time: 10:09:13 PM) Total Marks: 1
The study of economics basically focuses on:
Select correct option:
For whom resources are allocated to increase efficiency.
How society spends the income of individuals.
How scarce resources are allocated to fulfill society's goals.
What scarce resources are used to produce goods and services.
Question # 1 of 15 (Start time: 10:10:44 PM) Total Marks: 1
Production possibilities analysis assumes that:
Select correct option:
Resources and technology increase with production.
Resources are used to produce thousands of goods.
Extra resources are saved for emergency use.
Resources are used in a technically efficient way
Question # 4 of 15 (Start time: 10:14:28 PM) Total Marks: 1
Consider two commodities X and Y. If the cross-elasticity of demand is positive, it means the goods are:
Select correct option:
Independent.
Complements.
Substitutes.
Inferior.
Question # 5 of 15 (Start time: 10:15:42 PM) Total Marks: 1
A normative economic statement:
Select correct option:
Is a statement of fact.
Is a hypothesis used to test economic theory.
Is a statement of what ought to be, not what is.
Is a statement of what will occur if certain assumptions are true.
Question # 6 of 15 (Start time: 10:16:28 PM) Total Marks: 1
Which of the following will happen if there is an increase in the long term economic growth?

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Select correct option:
The production possibilities curve will shift outward.
The production possibilities curve will shift inward.
There will be a movement from inside the production possibilities curve to a point on the production possibilities curve.
There will be a movement from the production possibilities curve to a point inside the production possibilities curve.
Question # 8 of 15 (Start time: 10:19:24 PM) Total Marks: 1
Which of the following is a characteristic of a mixed economy?
Select correct option:
In mixed economy, resources are governed by both government and individuals.

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Mixed economy utilizes the characteristics of both market economy and planned economy to allocate goods and services.
People are free to make their decisions and government controls the Defence.
All of the given options are true.
Question # 9 of 15 (Start time: 10:20:19 PM) Total Marks: 1
The cross elasticity of demand of complements goods is:
Select correct option:
Less than 0.
Equal to 0.
Greater than 0.
Between 0 and 1
Question # 10 of 15 (Start time: 10:21:07 PM) Total Marks: 1
If the cross price elasticity of demand between two products is +3.5, then:
Select correct option:
One of the products is expensive and one is relatively inexpensive.
One product is a normal good and the other is an inferior good.
The two products are complements.
The two products are substitutes.

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Question # 12 of 15 (Start time: 10:23:43 PM) Total Marks: 1
The correlation between an asset's real rate of return and its risk (as measured by its standard deviation) is usually:
Select correct option:
Positive.
Strictly linear.
Flat.
Negative.
Question # 13 of 15 (Start time: 10:24:49 PM) Total Marks: 1
When government sets the price of a good and that price is above the equilibrium price, the result will be:
Select correct option:
A surplus of the good.
A shortage of the good.

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An increase in the demand for the good.
A decrease in the supply of the good.
Question # 14 of 15 (Start time: 10:26:09 PM) Total Marks: 1
Economists who are concerned about the behavior of individual households, firms and industries are studying:
Select correct option:
Microeconomics
Macroeconomics
Positive economics
Normative economics
Question # 15 of 15 (Start time: 10:27:14 PM) Total Marks: 1

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The law of diminishing marginal utility:
Select correct option:
Refers to the decrease in total satisfaction as more units of the good are consumed.
Refers to the fall in additional satisfaction created by consumption of more and more.
Refers to the units of a good.
Refers to the idea that total utility is negative
Question # 12 of 15 (Start time: 10:40:18 PM) Total Marks: 1
A partial explanation for the inverse relationship between price and quantity demanded is that a:
Select correct option:
Lower price shifts the supply curve to the left.
Higher price shifts the demand curve to the left.
Lower price shifts the demand curve to the right.
Higher price reduces the real incomes of buyers.
Question # 13 of 15 (Start time: 10:41:45 PM) Total Marks: 1
We know that the demand for a good or service is inelastic if:
Select correct option:
When price rises, quantity demanded rises.
When price rises, quantity demanded falls.
When price rises, total revenue rises.
When price rises, total revenue falls.
Question # 15 of 15 (Start time: 10:44:19 PM) Total Marks: 1
A person with a diminishing marginal utility of income:
Select correct option:
Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information

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Question # 2 of 15 (Start time: 10:48:49 PM) Total Marks: 1
More output could be produced with available resources if:
Select correct option:
Resources are allocated efficiently.

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Resources are imperfectly shiftable among alternative uses.
Prices are reduced.
The economy is operating at a point inside the production possibilities curve
Question # 3 of 15 (Start time: 10:50:18 PM) Total Marks: 1
Which of the following is true about the point on a nation's production-possibilities curve?
Select correct option:
It shows an undesirable combination of goods and services.
It shows the combinations of production that are unattainable, given current technology and resources.
It shows the level of production that will cause both unemployment and inflation.

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It shows that resources are fully employed in producing a particular combination of goods and services.

question # 4 of 15 (Start time: 10:51:28 PM) Total Marks: 1

If a decrease in price increases total revenue:

Select correct option:

Demand is elastic.

Demand is inelastic.

Supply is elastic.

Supply is inelastic.

Question # 5 of 15 (Start time: 10:52:55 PM) Total Marks: 1

The law of diminishing marginal utility indicates that the demand curve is:

Select correct option:

Vertical. U

shaped. Upward

sloping.

Downward sloping.

Question # 8 of 15 (Start time: 10:56:00 PM) Total Marks: 1

Suppose price rises from Rs. 15 to Rs. 17 and quantity demanded decreases by 20%. We can conclude:

Select correct option:

Demand is inelastic.

The elasticity of demand is

2.Total revenue will decrease.

Demand is unit elastic.

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Question # 9 of 15 (Start time: 10:57:25 PM) Total Marks: 1

If the supply of a product decreases and supply curve shifts leftward, and the demand for that product simultaneously increases and demand curve shifts rightward, then equilibrium:

Select correct option:

Price must rise.

Price must fall.

Quantity must rise.

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Quantity must fall.
Question # 10 of 15 (Start time: 10:58:55 PM) Total Marks: 1
An individual whose attitude towards risk is known as:
Select correct option:
Risk averse.
Risk loving.
Risk neutral.
None of the given is necessarily correct.
Question # 11 of 15 (Start time: 11:00:07 PM) Total Marks: 1
A rational person does not act unless:
Select correct option:

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The action is ethical.
The action produces marginal costs that exceeds marginal benefits.
The action produces marginal benefits that exceeds marginal costs.
The action makes money for the person.
Question # 12 of 15 (Start time: 11:00:49 PM) Total Marks: 1
A demand schedule is best described as:
Select correct option:
A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.
A graphical representation of the law of demand.
A systematic listing of all the variables that might conceivably bring about a change in demand.
A symbolic representation of the law of demand: P, Q and P, Q.
When the price elasticity of demand for a good is greater than 1, we say that the demand is:
Select correct option:
Increasing.
Decreasing.
Elastic.
Inelastic.
there is a price ceiling, there will be:
Select correct option:
Shortages.
Surpluses.
Equilibrium.
None of the given options
the quantity supplied of mangoes exceeds the quantity demanded of mangoes:
Select correct option:
There is a shortage of mangoes.
Market forces will cause the price to fall.
Market forces will cause the price to rise.
The market is in equilibrium
Price floor results in:
Select correct option:
Equilibrium.

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Excess demand.
Excess supply.
All of the given options

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When the price of petrol rises by 8%, the quantity of petrol purchased falls by 6%. This shows that the demand for petrol is:
Select correct option:

Perfectly elastic.

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Unit elastic.
Price elastic.
Price inelastic.
Which of the following defines the opportunity cost?
Select correct option:
It is measured only in rupees.
It is the cost to society of producing the goods.
It is the difficulty associated with using one good in place of another.
It is the cost of next best alternative forgone.
A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:
Select correct option:
Supply Scedule.
Demand Scedule.
Quantity supplied Scedule.
Quantity demanded Schedule
When government sets the price of a good and that price is below the equilibrium price, the result will be:
Select correct option: olzz
A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good
At the equilibrium price:
Select correct option:
There will be a shortage.
There will be neither a shortage nor a surplus.
There will be a surplus.
There are forces that cause the price to change

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If the equilibrium price of bread is Rs. 3 and the government imposes Rs. 2 price ceiling on the price of bread then:

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Select correct option:
More bread will be produced to meet the increased demand.
There will be a shortage of bread.
The demand for bread will decrease because suppliers will reduce their supply.
A surplus of bread will emerge.
The production possibilities curve:
Select correct option:
Shows all combinations of goods that society most desires.
Indicates that any combination of goods lying outside the curve is attainable.
Shows the maximum level of output that an economy can produce with all the available resources.

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Shows only those combinations of two goods that reflect "full production".
The percentage change in quantity demanded given a percentage change in consumer's income is known as:
Select correct option:
Price elasticity of demand.
Income elasticity of demand.
Supply price elasticity.
Cross price elasticity.
If utility remains the same for original and new combination of goods consumed, the effect of a change in the price of a good on the quantities consumed will be called as:
Select correct option:
Substitution effect.
Real income effect.
Income effect.
Budget effect.
If your demand price for one unit of a good is Rs. 100 and the market price is Rs. 75, your consumer's surplus will be:
Select correct option:
Rs.25.
Rs.50.
Rs.75.
Rs.100.
Suppose the price of railway ticket decreases, what will happen in the market for airline travel?
Select correct option:
The demand curve for airline travel shifts left.
The demand curve for airline travel shifts right.
The supply curve of airline travel shifts left.
The supply curve of airline travel shifts right.

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What is the reason of leftward shift in the demand curve for product A?
Select correct option:
A decrease in income if A is an inferior good.

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An increase in income if A is a normal good.
An increase in the price of a product that is a close substitute for A.
An increase in the price of a product that is complementary to A
If the price elasticity of demand for beans is estimated to be -0.4, then a 20% increase in price will decrease the quantity demanded by:
Select correct option:
14%.
8%.
16%.
20%.
In pure capitalism, freedom of enterprise means that:

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Select correct option:
Businesses are free to produce products that consumers want.
Consumers are free to buy goods and services that they want.
Resources are distributed freely to businesses that want them.
Government is free to direct the actions of businesses.
In a free-market economy, the allocation of resources is determined by:
Select correct option:
Votes taken by consumers.
A central planning authority.
Consumer preferences.
The level of profits of firms.
Question # 1 of 15 (Start time: 12:46:36 AM) Total Marks: 1
When government sets the price of a good and that price is below the equilibrium price, the result will be:
Select correct option:
A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.
Question # 2 of 15 (Start time: 12:46:59 AM) Total Marks: 1
Investment expenditures are expenditures made by the _____sector:
Select correct option:
Foreign.
Business.
Household.
Government.
Question # 3 of 15 (Start time: 12:47:11 AM) Total Marks: 1
The total market value of all final goods and services produced within a given period by factors of production located within a country is:
Select correct option:
Gross national product.
Gross domestic product.
Net national product.
Net national income.
Question # 4 of 15 (Start time: 12:47:23 AM) Total Marks: 1

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Average physical product is equal to:
Select correct option:
TPPF
TPPF/QF
QF / TPPF
TPPF * QF

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Question # 5 of 15 (Start time: 12:47:34 AM) Total Marks: 1
The oligopoly model that predicts that oligopoly prices will tend to be very rigid is the

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_____model.
Select correct option:
Cournot
Stackelberg
Dminant firm
Kinked demand
Question # 6 of 15 (Start time: 12:47:55 AM) Total Marks: 1
Final goods are meant for:
Select correct option:
Direct use by the consumers
further processing
The term do not exist
None
Question # 7 of 15 (Start time: 12:48:08 AM) Total Marks: 1
Which of the following is considered to be a variable cost in the long run?
Select correct option:
Expenditures for wages.
Expenditures for research and development.
Expenditures for raw materials.
All of the given Costs.
Question # 8 of 15 (Start time: 12:48:41 AM) Total Marks: 1
Endogenous growth theory was developed in:
Select correct option:
1980.
1965.
1970.
1950.
Question # 9 of 15 (Start time: 12:49:54 AM) Total Marks: 1
Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:
Select correct option:
The two goods are normal goods.
The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements.

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Question # 10 of 15 (Start time: 12:50:09 AM) Total Marks: 1
The war in Iraq sent oil prices spiraling upwards, resulting in an increase in the overall price level. This is an example of which type of inflation?
Select correct option:
Cost-pull.
Cost-push.
Demand-pull.
Demand-push.

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Question # 11 of 15 (Start time: 12:50:20 AM) Total Marks: 1
A Natural Monopoly is most likely to exist when:
Select correct option:
There are large barriers to entry.
There are long term patents.
There are large economies of scale.
There is government regulation of the industry.
Question # 12 of 15 (Start time: 12:50:38 AM) Total Marks: 1
The relationship between tax rates and total tax collections by government is known as:
Select correct option:
Laffer curve.
Demand curve.
Supply curve.
Investment curve.
Question # 13 of 15 (Start time: 12:51:15 AM) Total Marks: 1
If the prices of all goods and services rise during the year:
Select correct option:
Real GDP may fall. Nominal
GDP must fall. **Nominal GDP**
may increase. Real GDP
must rise.
Question # 14 of 15 (Start time: 12:51:39 AM) Total Marks: 1
If injections are less than withdrawals at the full-employment level of income then there arises:
Select correct option:
A deflationary gap.
Hysteresis.
Hyperinflation.
An inflationary gap.
Question # 15 of 15 (Start time: 12:51:49 AM) Total Marks: 1
The total cost (TC) function is given as: TC = 200 + 5Q. What is the fixed cost?
Select correct option:
200.
5Q.
5.

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5 + (200/Q).

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If not than raise ur standard
That's about me … !

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